Acquisitions, Investments & Financing Strategy

SINGAPORE AIRLINES (SIA)

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1. Business Acquisitions

SIA's M&A activity over the review period was not defined by volume but by strategic precision. The group made two structurally significant moves — one that repositioned it in the world's fastest-growing aviation market, and one that cleaned up its own low-cost carrier house.

1.1 The Air India–Vistara Merger (2022–2024)

Transaction Structure

Prior to this deal, SIA held a 49% stake in Vistara (Tata SIA Airlines Limited), with Tata Sons holding the remaining 51%. Under the merger framework, Vistara was fully absorbed into Air India. In exchange, SIA contributed its 49% Vistara stake plus a direct cash infusion of approximately S$360 million, securing a permanent 25.1% equity stake in the enlarged Air India Group.

Acquisition Summary

Transaction	Year	Deal Value	Stake Acquired	Funding Method
Air India–Vistara Merger	2022–2024	S$360 million	25.1% in Air India	Internal cash reserves
Tiger Airways Privatization	2016–2017	S$497.3 million	Remaining 44.23%	Direct cash outlay
Tiger Airways → Scoot Integration	Post-2017	N/A (Internal)	100% brand absorption	No external cash

Impact on Sales

Because 25.1% represents significant influence — not control — Air India's revenues are not consolidated line-by-line into SIA's income statement. Instead, the investment is accounted for under the equity method. This means SIA's reported top-line revenue is not directly inflated, but the group's share of Air India's earnings flows through as investment income on a proportional basis.

Impact on Profit

The deal triggered a one-off, non-cash accounting gain of approximately S$1.1 billion in SIA's net profit during the fiscal cycle of completion. This arose from the revaluation of the prior Vistara stake upon step-up to equity-method accounting in Air India. Strategically, this swap also converts SIA's risk profile — from co-managing a capital-hungry domestic startup (Vistara) to holding a permanent equity seat in India's dominant aviation platform with prime international slot access.

Impact on Cash Flow from Operations (CFO)

The S$360 million cash consideration was funded entirely from internal operational cash surpluses and appears as an outflow under Cash Flows from Investing Activities. It does not drag down CFO. The long-term structural benefit is a shift toward scalable equity earnings from Air India, rather than direct operational cost exposure from Vistara's growth phase.

1.2 Tiger Airways Full Privatization & Scoot Integration

Transaction Structure

SIA moved to consolidate full ownership of Tiger Airways Holdings by acquiring the remaining 44.23% minority float at S$0.41 per share — a 32% premium to the pre-announcement market price — valuing the carrier at approximately S$1.02 billion and implying a cash outlay of S$497.3 million. Tiger Airways was subsequently delisted from the SGX and fully absorbed into the Scoot brand under Budget Aviation Holdings.

Impact on Sales and CFO

The upfront S$497.3 million cash deployment reduced liquid assets under investing activities. However, the full brand consolidation eliminated dual administrative structures, overlapping regulatory certificates, and separate inventory networks. Fleet assets across Airbus A320 and Boeing 787 platforms were unified under a single Air Operator Certificate, improving asset utilization across the low-cost carrier segment. This structural efficiency allowed Scoot to recover from pandemic-era cash burn faster than most regional LCC peers, providing a meaningful buffer to the group's overall CFO stability in subsequent years.

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2. Investment Analysis (Excluding Subsidiaries & JVs)

SIA's non-subsidiary investment portfolio reflects a dual-track strategy: capital preservation during stress, and selective ecosystem bets for long-term ancillary revenue.

2.1 Liquid Short-Term Investments & Term Deposits

During the capital-intensive phase of 2020–2022, SIA moved excess liquidity raised through its rights issuance and MCB program into high-quality short-term instruments — commercial papers, bank fixed deposits, and money market placements. This created a de-facto liquidity buffer that insulated operating decisions from fuel price volatility and demand uncertainty.

2.2 Digital Ecosystem Investments

- Pelago (travel experiences platform): Scaled as a standalone digital revenue vertical, reducing overdependence on seat-based revenue.
- Kris+ (blockchain-based loyalty wallet): A fintech-adjacent investment aimed at monetizing SIA's large loyalty member base through non-aviation spend.

Both are classified under long-term financial and digital transformation assets. While currently ancillary, they represent SIA's structural pivot toward non-passenger revenue streams — a clear lesson absorbed from the pandemic.

2.3 Sustainable Aviation Fuel (SAF) Commitments

SIA committed capital to long-term forward procurement agreements for locally produced Sustainable Aviation Fuel through Neste at Changi Airport. This functions as both an operational hedge against carbon regulation costs and a brand-level positioning move ahead of potential ESG-linked borrowing conditions.

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3. Financing Trend Analysis (Last 5 Years)

SIA's capital structure over this period is best understood as a three-act story: emergency leverage buildup, sovereign-backed equity cushioning, and then a disciplined unwind back to normalized leverage.

3.1 Capital Structure Summary

Metric	FY 2020-21	FY 2021-22	FY 2023-24	FY 2024-25
Total Debt (S$ B)	9.51	10.63 (peak)	9.24	8.89
Total Equity (S$ B)	10.09	14.95 (MCB boost)	11.23	10.77
Debt-to-Equity (%)	94.3% (peak stress)	71.1% (MCB effect)	82.3%	82.5%
Key Event	COVID cash burn	MCB rights issue	MCB redemptions	Balance sheet normalized

3.2 Phase 1 — The Pandemic Leverage Buildup (FY 2020–21)

With passenger revenues near zero, total debt climbed from S$9.51 billion as SIA drew on revolving credit lines, new term loans, and senior unsecured bonds. The debt-to-equity ratio peaked at 94.3%, reflecting a near-equal split between creditor and equity funding at the worst moment of operational stress.

3.3 Phase 2 — Sovereign-Backed MCB Issuance (FY 2021–22)

This was the defining capital structure event of the cycle. SIA raised S$9.7 billion through Mandatory Convertible Bonds (MCBs) and a S$5.3 billion rights issue, both heavily anchored by

Temasek Holdings (SIA's majority shareholder). The MCBs were uniquely structured to be classified as equity rather than debt under applicable accounting standards.

The immediate effect: even though total debt rose to S$10.63 billion, the equity column expanded dramatically from S$10.09 billion to S$14.95 billion — a S$4.86 billion jump. This drove the debt-to-equity ratio down to 71.1%, not because the company de-levered, but because the equity denominator grew faster. This accounting treatment preserved SIA's investment-grade credit profile and prevented covenant breaches at the worst point of the crisis.

3.4 Phase 3 — Operational Recovery & MCB Redemption (FY 2023–25)

As travel demand surged back to record levels, SIA generated substantial operating cash surpluses. Rather than accumulating idle cash, management deployed these surpluses to systematically redeem the outstanding MCB tranches. This prevented long-term EPS dilution for ordinary shareholders (MCBs would have eventually converted to equity) and reduced total debt from S$10.63 billion to S$8.89 billion.

Equity, consequently, contracted from S$14.95 billion to S$10.77 billion as the hybrid instruments exited the balance sheet. The debt-to-equity ratio settled at approximately 82.3–82.5%, which — when contextualized against SIA's strong cash generation, clean debt stack, and unutilized credit lines — represents a healthy operational equilibrium rather than elevated risk.

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4. Interpretation of Financing Strategy — SIA

SIA's financing playbook across this period reflects a few deliberate strategic choices worth calling out explicitly:

- Sovereign backstop as a structural advantage: Temasek's willingness to anchor both the MCB issuance and rights issue gave SIA a financing floor that private-sector carriers without state backing simply could not replicate. This is a structural moat, not just a one-time bailout.
- MCBs over high-yield debt — a deliberate interest burden trade-off: By raising capital through MCBs classified as equity, SIA avoided taking on high-coupon debt at a time when revenues were zero. Had it relied on traditional bonds instead, the interest servicing cost alone could have materially worsened cash burn.
- Proactive EPS protection: The decision to redeem MCBs ahead of conversion — using operational surpluses rather than fresh debt — shows a clear prioritization of shareholder value. Management understood that dilution from conversion would have structurally depressed per-share earnings for years.
- Balance sheet for future deployment: With debt reduced, MCBs cleared, and a normalized equity base, SIA enters the next cycle with substantial financial flexibility — whether for further Air India stake increases, fleet modernization, or digital platform scaling.

Conclusion: SIA's capital architecture is among the most resilient in the global flag carrier space — not because the leverage ratio is low in absolute terms, but because the quality of the debt, the access to sovereign support, and the internal cash generation capacity make the current structure highly defensible.

CATHAY PACIFIC AIRWAYS

5. Business Acquisitions (Last 5 Years)

Cathay's M&A and restructuring moves during this period were primarily defensive in nature — focused on protecting Hong Kong slot dominance and eliminating internal cost duplication, rather than geographic expansion.

5.1 HK Express Acquisition

Transaction Structure

Cathay Pacific executed a full 100% equity acquisition of HK Express (Hong Kong Express Airways) for a total transaction value of HK$4.93 billion. The deal was structured as a combination of HK$2.25 billion in direct cash consideration and HK$2.68 billion in non-cash consideration — primarily the assumption and settlement of intra-company debt and shareholder loan obligations of the seller.

Acquisition Summary

Transaction	Year	Deal Value	Structure	Strategic Purpose
HK Express Acquisition	2019	HK$4.93 billion	Cash + debt assumption	LCC market entry
Cathay Dragon Cessation	2020	N/A (Internal)	Brand absorption + write-down	Cost elimination

Impact on Sales

HK Express gave Cathay an immediate, operational entry into the low-cost carrier segment — a market the premium Cathay Pacific brand structurally could not address at competitive price points. As regional borders reopened post-pandemic, HK Express drove double-digit percentage growth in group passenger traffic by capturing price-sensitive leisure segments across short-haul Asian routes. This contributed meaningfully to the volume recovery that underpinned the group's return to profitability.

Impact on Profit

During the initial travel lockdown phase, HK Express added fixed aircraft leasing liabilities to the group's loss position. However, once borders opened, the structural value became clear. The elimination of Cathay Dragon's overlapping route structure and the efficient deployment of the HK Express brand allowed the group to swing from severe net losses in 2022 to a net profit of HK$9.8 billion in 2024, further improving to HK$10.8 billion in 2025.

Impact on Cash Flow from Operations (CFO)

The cash portion of the acquisition (HK$2.25 billion) temporarily increased net debt metrics and was exacerbated by the broader pandemic cash burn environment. However, the structural cost extraction from eliminating Cathay Dragon's administrative overhead and aircraft duplication proved to be the more significant long-term CFO driver. The strategic logic of blocking a mainland or regional LCC competitor from seizing low-cost slots at HKIA was equally important — a purely financial analysis understates the defensive value of this transaction.

5.2 Cathay Dragon Brand Cessation (2020)

Transaction Structure

This was an internal operational restructuring involving the complete cessation of operations of Cathay Dragon, a wholly owned regional subsidiary. Since no external party was involved, there was no transaction value. Cathay Dragon's prime regional route rights and aircraft were absorbed directly into the mainline Cathay Pacific fleet.

Financial Impact

The immediate financial statement impact was a one-off non-cash impairment and restructuring charge of HK$2.44 billion in FY 2020, driven by aircraft asset write-downs, lease penalty settlements, and employee severance. This was a front-loaded pain trade for long-term structural benefit — permanently eliminating the cost drag from running parallel brands with overlapping route networks.

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6. Investment Analysis (Excluding Subsidiaries & JVs)

Cathay's non-subsidiary investment portfolio is concentrated in two areas: strategic cross-shareholding alliances with regional carriers, and liquidity management through institutional-grade liquid funds.

6.1 Air China Cross-Shareholding Alliance

Cathay maintains a 15.09% equity stake in Air China Limited and a 21.01% direct interest in Air China Cargo Co., Ltd., both accounted for as investments in associated companies. These positions are strategically critical — they anchor Cathay's access to mainland China traffic flows, which form a core driver of Hong Kong hub connectivity.

From an accounting standpoint, dilution events from Air China's capital markets activity have generated non-operating gains for Cathay (e.g., a HK$578 million gain in 2024). These are not operating income but represent real balance sheet value crystallization from the cross-holding structure.

6.2 Liquid Funds Portfolio

Cathay maintains a liquid funds balance of approximately HK$10.5 billion, deployed across bank deposits and short-term debt instruments. This serves a dual purpose: it provides the operational liquidity runway needed to fund a HK$100 billion multi-year capital expenditure program without market refinancing risk, and it functions as a yield-generating buffer during periods of lower fleet expansion activity.

6.3 Aviation Ecosystem Ventures

Cathay holds minor financial allocations in logistics management platforms and digital cargo distribution technology providers. These are primarily focused on modernizing cargo handling efficiency at its Hong Kong hub terminal — a strategic priority given that cargo remains a materially significant revenue stream for the group.

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7. Financing Trend Analysis (Last 5 Years)

Cathay's financing journey over this period is structurally distinct from SIA's — it involved a government as an equity stakeholder rather than just a rights issue anchor, which created a specific mandate: exit state ownership as fast as operationally prudent.

7.1 Capital Structure Summary

Metric	FY 2021	FY 2022	FY 2024	FY 2025
Net Borrowings (HK$ B)	71.30	66.20	52.76	46.81 (5-yr low)
Total Equity (HK$ B)	71.01	64.91	52.50	60.11 (rebounding)
Net Debt-to-Equity	1.00x	1.02x	1.10x (pref. buyback)	0.78x (5-yr low)
Key Event	Sovereign bailout	Continued cash burn	Final state exit	Earnings normalized

7.2 Phase 1 — The HK$39 Billion Sovereign Bailout (2020–2021)

Facing total operational shutdown under regional border closures, Cathay executed a multi-part rescue package with the HKSAR Government comprising:

- HK$19.5 billion in preference shares with detachable warrants, issued directly to the government;
- HK$11.7 billion rights issue of ordinary shares to parent Swire Pacific and Air China; and
- HK$7.8 billion bridge loan facility for immediate liquidity.

The preference shares carried a stepping-up cumulative dividend rate — meaning the longer they stayed unredeemed, the more expensive they became. This built a structural incentive to retire state capital as quickly as cash flows allowed. By structuring the bailout through preference shares rather than high-coupon senior debt, Cathay preserved its near-term credit rating from technical default risk.

7.3 Phase 2 — Equity Erosion Under Losses (FY 2021–2024)

Total equity contracted steadily from HK$71.01 billion to a trough of HK$52.50 billion, driven by two concurrent forces: the accumulation of net losses from extended travel restrictions, and the

deliberate capital return involved in the preference share redemption program. The net debt-to-equity ratio peaked at 1.10x in FY 2024 — not a sign of deterioration, but a deliberate, temporary trade-off as Cathay used cash reserves and short-term facilities to execute the final HK$9.75 billion state share buyback.

7.4 Phase 3 — Full State Exit & Balance Sheet Normalization (FY 2024–2025)

Cathay completed the full redemption of the HKSAR Government's preference shares in July 2024, simultaneously buying back all detachable warrants (HK$1.53 billion) and paying accumulated preference dividends (HK$2.44 billion). This was a clean, total exit from state ownership — no government instruments remain on the balance sheet.

The downstream effect was immediate. With preference dividends eliminated and record operating profits flowing directly into retained earnings, equity rebounded to HK$60.11 billion by FY 2025. Net borrowings hit a five-year low of HK$46.81 billion. The net debt-to-equity ratio compressed to 0.78x — the cleanest capital structure in the group's recent history.

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8. Interpretation of Financing Strategy — Cathay Pacific

Cathay's strategy can be summarized as a three-stage framework: State-Sponsored Equity Preservation → Operational Cash Accumulation → Full Corporate Sovereignty Restoration.

- Preference shares over senior debt: Like SIA's MCB structure, issuing preference shares rather than high-coupon debt during the crisis phase kept Cathay's debt covenants intact and credit ratings defensible. The key difference was the stepping-up dividend mechanism, which created a structured urgency to redeem — effectively forcing management discipline on cash deployment.
- The 1.10x leverage spike was deliberate: The peak gearing in FY 2024 was not financial distress — it was a conscious decision to temporarily borrow short to buy out state equity and terminate the preference dividend obligation permanently. The math worked: eliminating the stepping dividend saved more in long-run cash than the short-term borrowing cost.
- Corporate independence as a strategic asset: Exiting full state ownership restores full commercial decision-making flexibility to Cathay's management and board — particularly relevant for route network decisions and potential future M&A, where government-aligned preference holders may have had conflicting interests.
- Positioning for the HK$100 billion capex cycle: With the balance sheet now at its cleanest in five years and ordinary dividends reinstated (HK$0.84 per share total in FY 2025), Cathay's management has explicitly stated intent to self-fund its multi-year fleet renewal and cabin retrofit program (including the new Aria business class) from normalized operational cash generation and standard revolving credit facilities.

Conclusion: Cathay's financing architecture in FY 2025 is the strongest it has been since pre-pandemic. The combination of a low 0.78x net debt-to-equity ratio, HK$10.5 billion in liquid funds, and growing operating cash generation gives the group substantial headroom to fund both its capex roadmap and potential opportunistic M&A without meaningful balance sheet stress.

COMPARATIVE ANALYST NOTE

9. SIA vs. Cathay Pacific — Financing Strategy Comparison

Both carriers navigated the same macro event (COVID-19 travel collapse) through broadly similar mechanisms — sovereign-backed emergency capital — but with structurally different execution and different balance sheet outcomes entering FY 2025.

Dimension	Singapore Airlines	Cathay Pacific
Crisis Capital Instrument	MCBs (equity-classified hybrid)	Preference shares + warrants
Sovereign Anchor	Temasek Holdings	HKSAR Government
Peak Leverage	94.3% D/E (FY 2021)	1.10x Net D/E (FY 2024)
State Exit Status	No direct state equity	Fully exited July 2024
FY 2025 Leverage	~82.5% D/E	0.78x Net D/E
India Market Strategy	25.1% stake in Air India	No direct India play
Key M&A Move	Air India–Vistara merger	HK Express acquisition
LCC Integration	Tiger Airways → Scoot	Cathay Dragon cessation
Capex Outlook	Fleet + digital platforms	HK$100B fleet + cabin refresh

The key structural distinction: SIA's leverage ratio remains in the 80s percentage range, whereas Cathay has compressed to sub-1.0x net debt-to-equity. However, SIA's higher ratio is largely a reflection of the equity contraction from MCB redemptions — not rising debt — and is offset by Temasek's implicit backstop and SIA's own strong operating cash generation. Both carriers enter the current cycle with investment-grade capital structures and the financial flexibility to execute their respective long-term strategic roadmaps without near-term refinancing risk.